

Topic 7 – SEMINAR 6

Topic: Should governments subsidize homeownership?

Format: Key paper presentations by students & subsequent discussions

Context: This seminar builds on the lecture on ‘Owning vs. Renting: Externalities, Determinants, and Policies’. During the lecture, we looked at some stylized facts on homeownership attainment, why we should care about homeownership from a welfare economics and policy point of view, whether homeownership subsidies are justified, and what factors determine the individual housing tenure choice and local homeownership rates.

Purpose of the seminar: To discuss two core issues related to the topic in more depth by looking at two key papers.

The **DiPasquale and Glaeser (1999)** paper is a seminal article on the positive externalities associated with homeownership. The **Hilber and Turner (2014)** paper asks: Are subsidies to homeowners effective? The article explores the impact of the Mortgage Interest Deduction (MID) – a subsidy to homeowners – in the United States on homeownership attainment. It evaluates whether/under what circumstances homeownership subsidies are effective in increasing homeownership attainment.

“Homework” to be carried out before the seminar:

The compulsory readings for this seminar are:

- [A] **DiPasquale, D. and E. L. Glaeser, 1999**, “Incentives and Social Capital: Are Homeowners Better Citizens?” [*Journal of Urban Economics* 45, 354-384](#). (Main Collection HJ9103)
- [B] **Hilber, C.A.L. and T.M. Turner, 2014**, “The Mortgage Interest Deduction and its Impact on Homeownership Decisions,” [*Review of Economics and Statistics* 96\(4\), 618-637](#).

All students: Are expected to read the above papers. All students must be prepared to ask questions to the presenters during the seminar.

Presenters: Must jointly prepare slides for a presentation. Each paper presentation shall not exceed 20 minutes (i.e., since there are two presenters per paper, not more than 10 minutes per presenter)

Morning Group

Group A1 (2 students) presents the **DiPasquale & Glaeser (1999)** paper.

Group B1 (2 students) presents the **Hilber & Turner (2014)** paper.

Afternoon Group

Group A2 (2 students) presents the **DiPasquale & Glaeser (1999)** paper.

Group B2 (2 students) presents the **Hilber & Turner (2014)** paper.